



September 27, 2024

EECS 496 - Professor Wentzloff
University of Michigan
Nick Hopwood, CFP
Preston Gee, CFP





Preston
CFP
4 years

Jim
CFP
14 years

Gwen
18 years

Connie
18 years

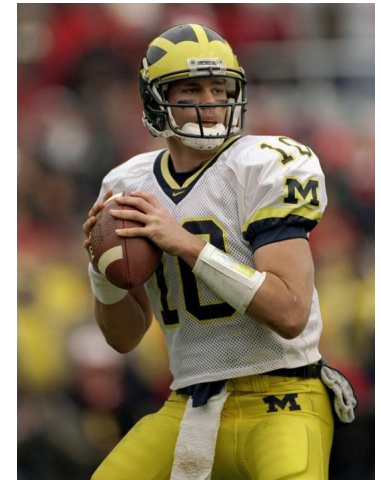
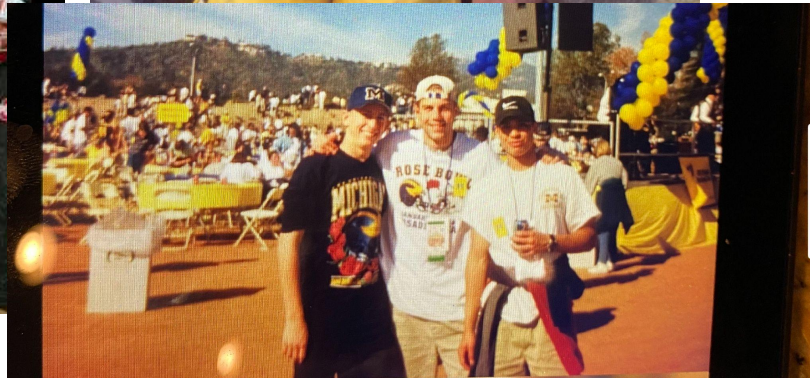
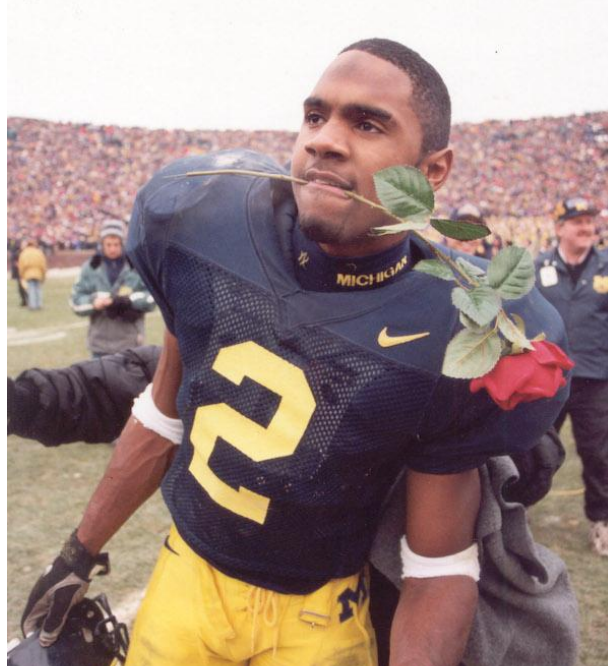
Nick
CFP
25 years
UMich 2001
Econ

Patti
20 years



charles
SCHWAB

Freshman Year - 1997!



Bursley the dog with Bursley Hall March 2020





Section 1

Financial Planning





Blueprinting Mindset

<https://static.fmgsuite.com/media/documents/1d2fa6de-94bf-4a0c-8a32-e4ce5ee4adb0.pdf>

Values

Purpose

Vision

Mission

Goals



The background of the slide is a photograph of a two-story brick building with a gabled roof and a portico supported by white columns. The building is surrounded by greenery, including trees and a lawn. The image is partially obscured by a dark blue overlay on the left side where the text is located.

PEAK

WEALTH MANAGEMENT

Personal Growth and Development

Podcasts

Communication Skills

Personality Styles

Read Books and Audible

-Start with Why - Simon Sinek

-Think and Grow Rich - Napoleon Hill



Cash Flow

Track Your Expenses and Net Worth

<https://www.peakwm.com/expenses>



EXPENSE TRACKING

[illegible]

NET WORTH TRACKING

[illegible]



Retirement Income

Social Security
Pension
Investments
Consulting





Retirement Income

Social Security (75%???)

Investments

Consulting/Semi-Retirement

**Guaranteed pensions
don't exist like they used to.**



Peak Income 360 seeks to replace that pension by adding multiple passive retirement income streams.



DIVERSIFY YOUR INCOME.

INCOME 360 FORMULA

Add 15% to your 401K

Buy \$1 Million of Rental Real Estate (Using leverage)

Pay off Mortgage

Social Security Optimization



➤ **Portfolio:** Add 15% to your 401k, manage your risk, and also consider tax-free income from municipal bonds.

➤ **Real Estate:** We know a million sounds like a task, but we can show you the way!

➤ **Consulting:** Put your skills to work for a few hours per week for a high hourly rate.

➤ **No Debt:** Not having a mortgage is as good as an extra income stream. Consider paying it off!

➤ **Social Security:** Taking advantage of the deferral credits can make a huge difference.

NEW YORK TIMES BESTSELLER



ANYONE CAN DO IT ...

Not everyone will ... will you?

The

Millionaire Real Estate Investor

GARY KELLER

WITH DAVE JENKS AND JAY PAPASAN



Am I ready to Retire?

1. \$\$ Do I have enough?
2. Career Accomplishments?
3. What will I do with 40+ hours?
4. Is my spouse on board?





Five Stages of Retirement

1. Anticipation
2. Honeymoon
3. Disenchantment/Depression
4. Rejuvenation
5. Fulfillment





Compounding - Start Early

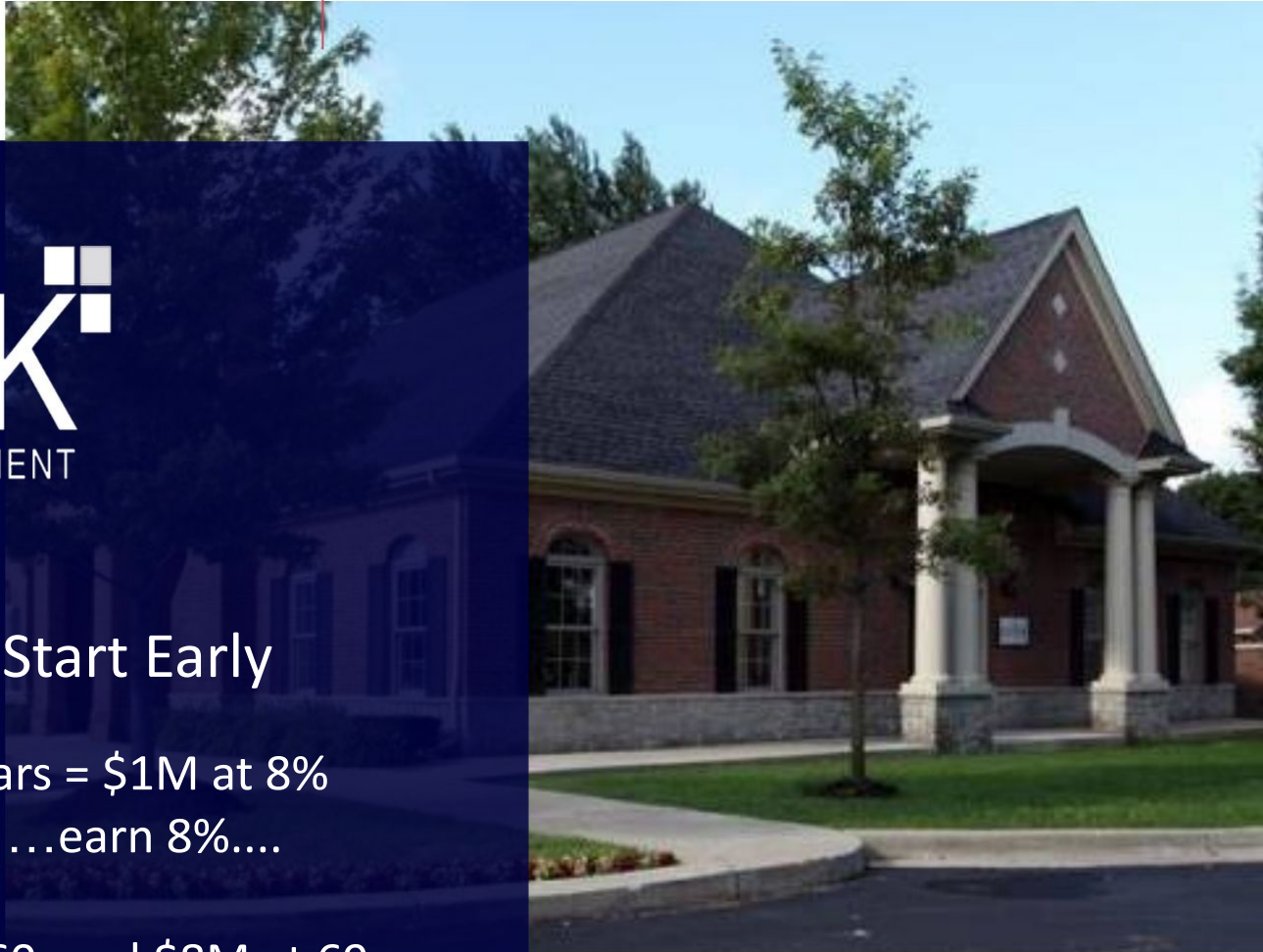
Age 22- 42 Early Ernie

Save \$20k for 20 years = \$1M at 8%

Then add nothing.....earn 8%....

Rule of 72....

\$2M at 51, \$4M at 60, and \$8M at 69





Compounding - Don't Delay

Age 22- 62 Slow Sam

Save \$10k for 40 years = 400k Principal (same)

Ending Balance is ~ \$3M

Vs Last Example ~\$ 4.6M





Taxes

Traditional vs Roth vs HSA

Pre-Tax

Deferral

Tax Free

Ordinary/Dividends/Cap Gains

RSU's (Restricted Stock Units)

Tax Deferral Over 20 Years
\$250,000 Initial Investment
8% Rate of Return
37% Tax Rate

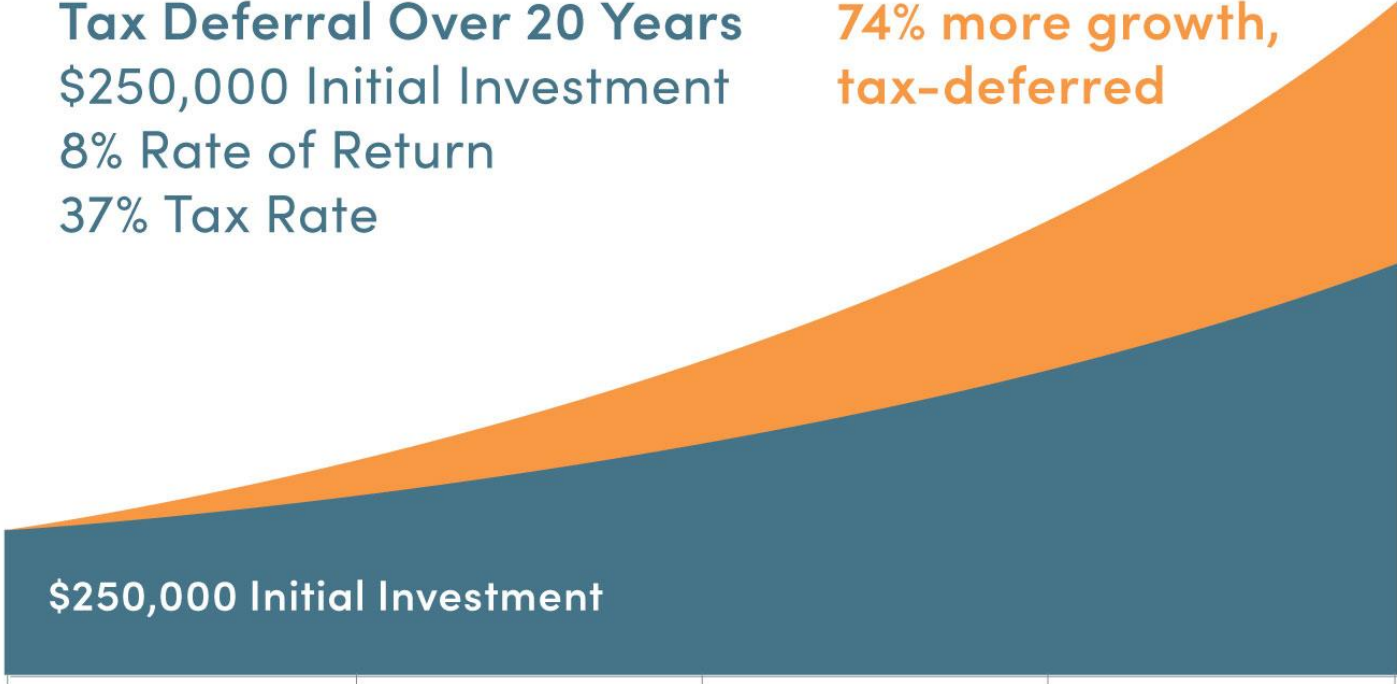
**74% more growth,
tax-deferred**

\$1,165,239
Tax-deferred
Account Value
(pre-withdrawal)

\$668,397
Taxable Account

\$250,000 Initial Investment

Years 5 10 15 20



The chart is an area graph with 'Years' on the x-axis (0 to 20) and investment value on the y-axis. A dark blue area starts at \$250,000 at year 0 and grows to \$668,397 at year 20. An orange area is stacked on top of the blue area, representing the additional growth from tax deferral. The total height of the stacked areas at year 20 is \$1,165,239. The text '74% more growth, tax-deferred' is placed above the orange area.

Years	Taxable Account (\$)	Tax-deferred Account Value (\$)
0	250,000	250,000
5	300,000	350,000
10	360,000	460,000
15	430,000	590,000
20	668,397	1,165,239

2023 Federal Income Tax Brackets and Rates for Single Filers, Married Couples Filing Jointly, and Heads of Households

Tax Rate	For Single Filers	For Married Individuals Filing Joint Returns	For Heads of Households
10%	\$0 to \$11,000	\$0 to \$22,000	\$0 to \$15,700
12%	\$11,000 to \$44,725	\$22,000 to \$89,450	\$15,700 to \$59,850
22%	\$44,725 to \$95,375	\$89,450 to \$190,750	\$59,850 to \$95,350
24%	\$95,375 to \$182,100	\$190,750 to \$364,200	\$95,350 to \$182,100
32%	\$182,100 to \$231,250	\$364,200 to \$462,500	\$182,100 to \$231,250
35%	\$231,250 to \$578,125	\$462,500 to \$693,750	\$231,250 to \$578,100
37%	\$578,125 or more	\$693,750 or more	\$578,100 or more

Source: Internal Revenue Service



Dividend/LT Cap Gains Taxation

Married with \$700k Salary

How much Tax?

37% Fed, 4.25% State, 3.8% Medicare = 45%

Add \$100k Dividend Income

How much tax on the Dividends?

Answer: 20% plus 4.25% State Plus
Medicare 3.8%





Municipal Bond Taxation

Married with \$700k Salary

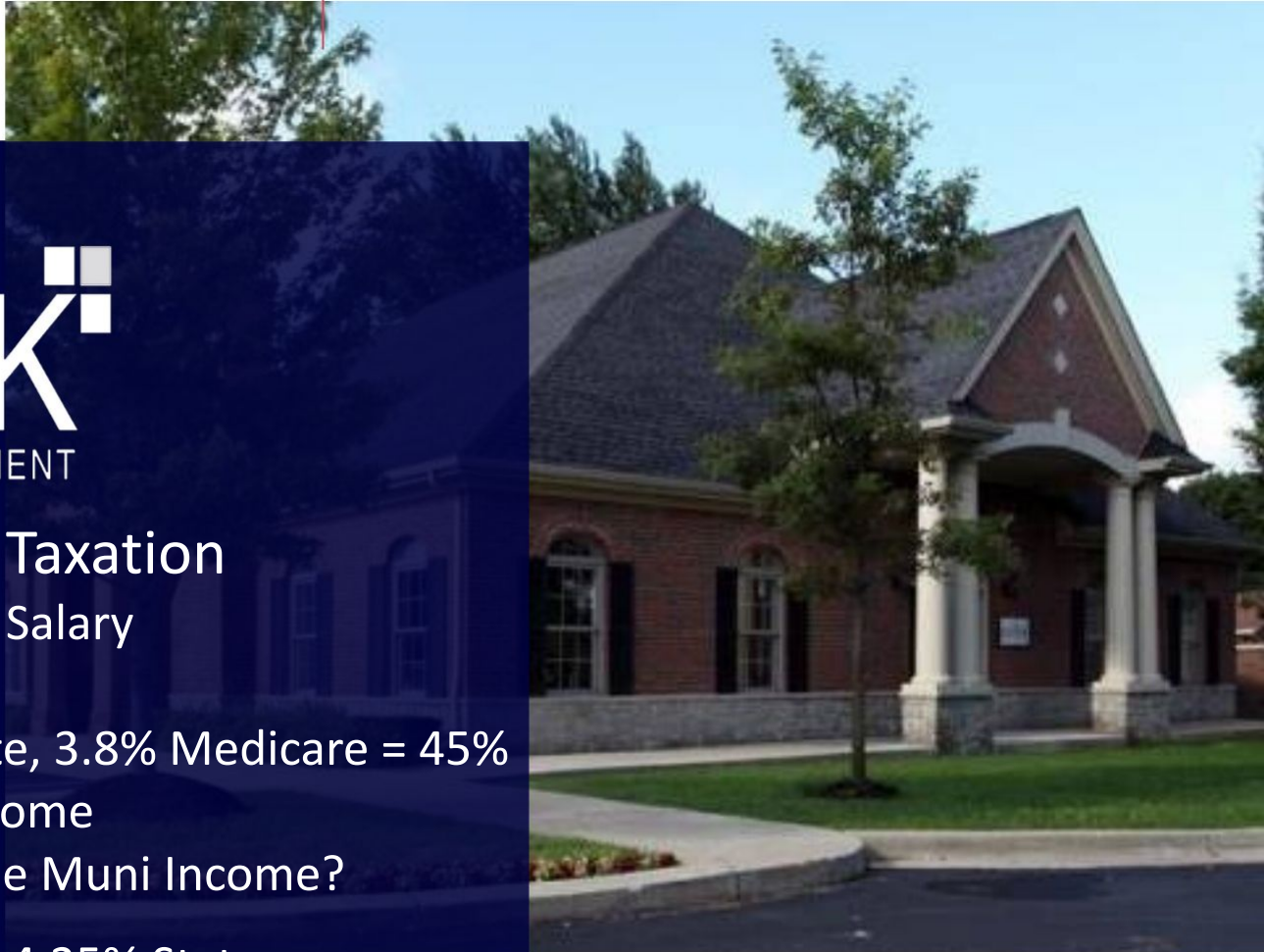
How much Tax?

37% Fed, 4.25% State, 3.8% Medicare = 45%

Add \$100k Muni Income

How much tax on the Muni Income?

Answer: Zero Fed + 4.25% State





Real Estate Investment Trust Taxation (REIT)

Married with \$700k Salary

How much Tax?

37% Fed, 4.25% State, 3.8% Medicare = 45%

Add \$100k Real Estate Distributions

How much tax on the Distributions?

Answer: Depends on the amount of
depreciation





Restricted Stock Units (RSU's)

Vesting Period

Ordinary Income Due at Vest Date

Subsequently subject to capital gains





Compensation Packages

Salary/Bonus

Pension? Or just a 401k Match?

Stock Options/RSU?

Health Insurance/HSA Deposit?

Stock Purchase Plans?

Advancement? Fulfillment?





Section 2

Investments



Strategist Partners....

**JPMORGAN
CHASE & CO.**



**AMERICAN
FUNDS®**

From Capital Group

**Goldman
Sachs**

BlackRock®

Vanguard®



Employer Sponsored

401k/403/457/HSA
Pre-Tax and Roth
HSA - Triple Tax Free!





Employer Sponsored

Mutual Funds

Payroll - Easy!

Matching Contributions

IRS Limits - \$23,000 in 2024





IRA/ Roth IRA

Mutual Funds/ETF/Stocks/etc.

Not through Payroll

No Matching Contributions

IRS Limits - \$7,000 in 2024

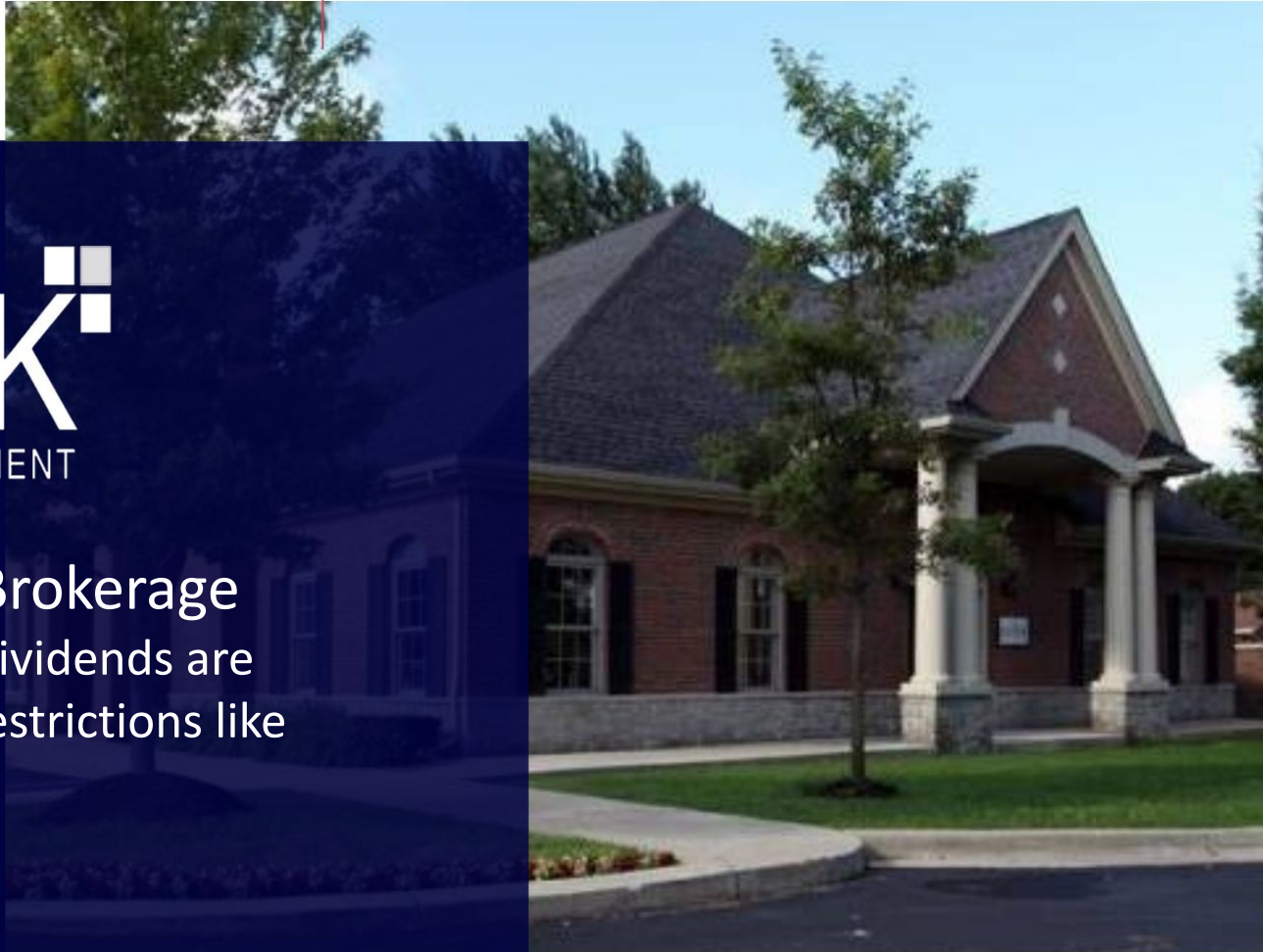
Income limits (146K SINGLE)





Non-Qualified Brokerage
Capital Gains and Dividends are
taxed, but no age restrictions like
IRA's

Invest in anything





Mutual Funds

Pool your funds with others

Active - Manager Picks Stocks

Passive - Track the Index





ETF's (Mutual Funds 2.0)

Pool your funds with others

Active - Manager Picks Stocks

Passive - Track the Index

Lower Fees

More Efficient with Capital Gains





Other Asset Classes

Private Equity
Hedge Funds
Private Credit
Real Estate
Commodities
Options





Real Estate
(Passive) Investment Income
Tax Efficient
Leverage





Duplex Example

2017 Buying Spree

Price \$170k

Rent \$1,000 on each side

\$24,000-costs = 17,000 profit

10% Gross returns





Risk

Emotional
Mathematical
1999 Internet
2021 Bitcoin



Which stock is this?
Today's Price?





Schwab vs Fidelity vs Robinhood

1-800-Schwab vs
1-800-Fidelity vs
Black Hole





Thank You!

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